

MODEL QUESTION PAPER-APRIL 2017

FOURTH SEMESTER DIPLOMA EXAMINATION IN CABM ENGINEERING/TECHNOLOGY

FINANCIAL MANAGEMENT

[Time: 3 hours]

(Maximum marks: 100)

PART A**I (Answer the following questions in one or two sentences. Each question carries 2 marks)**

1. List out any two aims of finance function.
2. Define fund.
3. Write the meaning of capital gearing.
4. List out any two limitations of current ratio.
5. Write the meaning of watered capital.

(5*2=10)

PART B**II (Answer any five questions, each question carries 6 mark)**

1. State the importance of ABC analysis.
2. Differentiate gross working capital and net working capital.
3. Current ratio=2.8, Acid test ratio=1.5, working capital=162,000. Find out current assets.
4. Explain the following short term source of financing.
(a) Trade Credit (b) Bank Credit (c) Public Deposit
5. Profit maximisation is the primary objective of financial management. Justify.
6. State the causes and effects of watered capital.
7. Explain the elements of financial planning.

(5*6=30)

PART C

(Answer one full question from each module; each full question carries 15 marks)

(4*15=60)

MODULE - I

- III. (a) Describe the inter-relationship between investment, financing and dividend decisions. (6)
(b) Explain the importance of Financial Management. (9)

Or

- IV. (a) State the limitations of traditional approach of finance. (6)
(b) Describe the basic objectives of financial management in the modern era of corporations. (9)

MODULE - II

- V. (a) Describe the merits and demerits of public deposit. (6)
(b) Critically examine the advantages and disadvantages of raising funds by issuing shares of different types. (9)

Or

- VI. (a) Describe the advantages and limitations of debentures financing. (10)
(b) Explain the functions of IFC. (5)

MODULE - III

- VII. (a) Explain the importance of inventory management. (6)
(b) Explain EOQ with the help of a graph. (9)

Or

- VIII. (a) Explain the need of capital gearing. (7)
(b) Explain the components of working capital. (8)

MODULE - IV

- IX. (a) Explain the meaning and objects of financial analysis. (8)
(b) Explain the significance of ratio analysis. (7)

Or

- X. Explain the components of current ratio. (15)
